ROOFING AND SHEET METAL SUBCONTRACT AGREEMENT

This Roofing and Sheet Metal Subcontract Agreement (the "Subcontract") is entered into as of February 2, 2026 (the "Effective Date"), by and between **Redwood Peak Construction Co.**, a California corporation, California Contractors State License Board ("CSLB") License No. 914472 (Class B), with offices at 2280 Bluebell Drive, Suite 110, Santa Rosa, California 95403 ("Contractor"), and **Precision Roofing & Sheet Metal**, a California corporation, CSLB License No. 1038619 (Classes C-39 and C-43), Department of Industrial Relations ("DIR") Registration No. 1000287705, with offices at 610 Yolanda Avenue, Unit C, Santa Rosa, California 95404 ("Subcontractor").

Contractor has entered into a prime contract (the "Prime Contract") with the **City of Santa Rosa** ("Owner") for construction of the project known as **Fire Station 5 Replacement**, located at 2259 Hidden Valley Road, Santa Rosa, California (the "Project"). Contractor wishes to engage Subcontractor to perform a portion of the work under the Prime Contract. Subcontractor is willing to perform that work on the terms stated below.

In consideration of the mutual promises in this Subcontract, Contractor and Subcontractor agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Subcontract Work" means all labor, materials, equipment, supervision, transportation, hoisting coordination, submittals, testing, and services required to complete the roofing and sheet metal work described in Article 3 and the Subcontract Documents, together with work reasonably inferable from them as necessary to produce the intended result.

1.2 "Subcontract Documents" means this Subcontract, the Prime Contract, the drawings and specifications issued for construction of the Project, all addenda issued before the Effective Date, and all Change Orders issued after the Effective Date.

1.3 "Change Order" means a written document signed by Contractor and Subcontractor that changes the Subcontract Work, the Subcontract Sum, or the Subcontract Time.

1.4 "Final Completion of the Subcontract Work" means the date on which all Subcontract Work, including punch list items, has been completed and accepted by Contractor and Owner, and all closeout submittals required by Article 13 have been delivered to Contractor.

1.5 "Backcharge" means a cost incurred by Contractor that, under this Subcontract, is chargeable to Subcontractor, including the cost of cleanup, repair of damage caused by Subcontractor, correction of Subcontractor's defective or nonconforming work, and supplementation of Subcontractor's forces after notice under Article 14.

1.6 "Application for Payment" means Subcontractor's monthly request for payment submitted in accordance with Article 6.

ARTICLE 2 — SUBCONTRACT DOCUMENTS

2.1 The Subcontract Documents are incorporated into this Subcontract by reference. Subcontractor acknowledges that it has reviewed the Subcontract Documents, including the Prime Contract, and has had a full opportunity to ask questions before signing.

2.2 To the extent the Prime Contract applies to the Subcontract Work, Subcontractor assumes toward Contractor the same obligations that Contractor assumes toward Owner. Contractor has toward Subcontractor the same rights and remedies that Owner has toward Contractor under the Prime Contract.

2.3 If the Subcontract Documents conflict with each other, the following order of precedence applies: (a) Change Orders; (b) this Subcontract; (c) the Prime Contract; (d) the specifications; (e) the drawings. Within any one document, the more stringent requirement governs. Subcontractor shall promptly report any conflict, error, or omission it discovers to Contractor in writing before proceeding with the affected work.

2.4 Copies of the Prime Contract, less pricing information, are available to Subcontractor on request at Contractor's office.

ARTICLE 3 — SCOPE OF SUBCONTRACT WORK

3.1 Subcontractor shall furnish and install all roofing and sheet metal work for the Project in accordance with the following specification sections and all related drawings:

(a) Section 07 22 16, Roof Board Insulation; (b) Section 07 41 13, Standing Seam Metal Roof Panels (apparatus bay); (c) Section 07 54 23, Thermoplastic Polyolefin (TPO) Roofing (living quarters and administration wing); (d) Section 07 62 00, Sheet Metal Flashing and Trim; (e) Section 07 71 23, Manufactured Gutters and Downspouts; (f) Section 07 72 00, Roof Accessories, including roof hatches, walkway pads, and pipe and curb flashings; and (g) Section 07 92 00, Joint Sealants, to the extent required at roofing and sheet metal terminations.

3.2 The Subcontract Work includes shop drawings, product data, samples, manufacturer's pre-installation and final inspections, and all manufacturer's documentation necessary for issuance of the specified warranties.

3.3 The Subcontract Work excludes structural roof deck, rough carpentry blocking (except blocking at sheet metal copings shown on detail sheet A-512), mechanical curbs furnished by others, and rooftop photovoltaic racking. Subcontractor shall flash all penetrations and curbs installed by others.

3.4 Subcontractor shall coordinate with Contractor for use of the Project crane and material hoisting. Contractor will provide crane time at no cost to Subcontractor during scheduled hoisting windows. Additional hoisting outside those windows is at Subcontractor's expense.

3.5 Subcontractor shall keep its work areas clean and shall remove its debris from the roof and site daily into containers furnished by Contractor.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor for the full and proper performance of the Subcontract Work the sum of **Three Hundred Eighty-Five Thousand Dollars ($385,000.00)** (the "Subcontract Sum"), subject to additions and deductions by Change Order as provided in this Subcontract.

4.2 The Subcontract Sum includes all applicable taxes, permits and fees relating to the Subcontract Work, prevailing wages, fringe benefits, insurance, bonds (if required by Article 11), overhead, and profit.

4.3 The Subcontract Sum is allocated in the Schedule of Values attached as the final exhibit to this Subcontract. The Schedule of Values will be used to evaluate Applications for Payment. It does not limit the scope of the Subcontract Work.

ARTICLE 5 — SCHEDULE AND SUBCONTRACT TIME

5.1 Subcontractor shall begin the Subcontract Work within five (5) working days after Contractor's written notice to proceed and shall carry the work forward diligently in accordance with Contractor's Project schedule, as updated from time to time (the "Subcontract Time").

5.2 Subcontractor shall provide Contractor with the information Contractor reasonably requests to prepare and update the Project schedule, including durations, crew sizes, and material lead times. Subcontractor shall submit all shop drawings and product data within twenty-one (21) calendar days after the Effective Date.

5.3 Time is of the essence. If Subcontractor falls behind schedule for reasons within its control, Subcontractor shall, at its own expense, increase its workforce, work additional shifts or overtime, or take other measures needed to recover the schedule.

5.4 Subcontractor shall protect the Subcontract Work from weather damage until it is accepted. Subcontractor shall install temporary weather protection at the end of each workday on all areas where permanent roofing is incomplete.

5.5 If Subcontractor is delayed by causes beyond its control and without its fault, it shall be entitled to an extension of the Subcontract Time equal to the actual delay, but only if it gives Contractor written notice within seven (7) calendar days after the start of the delay. Subcontractor's monetary recovery for delay is limited to the amount, if any, that Contractor actually recovers from Owner on Subcontractor's behalf.

ARTICLE 6 — PROGRESS PAYMENTS

6.1 On or before the twentieth (20th) day of each month, Subcontractor shall submit an Application for Payment covering Subcontract Work performed through the end of that month, using the Schedule of Values. Each Application for Payment must include certified payroll records for the period and the waiver required by Article 8.

6.2 Contractor shall include the approved amount of each Application for Payment in Contractor's corresponding payment request to Owner.

6.3 **Contractor shall pay Subcontractor each progress payment, less retention under Article 7 and any amounts withheld under Article 9, within seven (7) days after Contractor's receipt of the corresponding progress payment from Owner.** Contractor and Subcontractor expressly agree in writing that Owner's payment to Contractor is a condition of the timing of Contractor's payment to Subcontractor. This is a pay-when-paid provision governing when payment is due. If Owner fails to pay Contractor for reasons not attributable to Subcontractor, Contractor's obligation to pay Subcontractor for approved work becomes due within a reasonable time.

6.4 **Contractor will pay only for materials incorporated into the Work, and will not pay for materials stored on or off the Project site that have not yet been installed.** Subcontractor shall not include stored materials in any Application for Payment.

6.5 Progress payments are not acceptance of defective or nonconforming work. Title to all work covered by a progress payment passes to Owner on payment.

ARTICLE 7 — RETENTION

7.1 **Contractor shall retain five percent (5%) of the amount due on each progress payment to Subcontractor as retention.**

7.2 **Retention becomes payable to Subcontractor upon both (a) Final Completion of the Subcontract Work and (b) Contractor's receipt of retention from Owner.** **Contractor shall pay the retention to Subcontractor within ten (10) days after the later of those two events.**

7.3 Contractor may deduct from retention any amounts it is entitled to withhold under Article 9 at the time the retention becomes payable.

ARTICLE 8 — LIEN AND STOP PAYMENT NOTICE WAIVERS

8.1 **Before Contractor makes each progress payment, Subcontractor shall deliver to Contractor Subcontractor's own conditional waiver and release on progress payment, on the statutory form set out in California Civil Code Section 8132, covering the amount of that payment.**

8.2 **After Subcontractor receives each progress payment, Subcontractor shall deliver to Contractor Subcontractor's own unconditional waiver and release on progress payment, on the statutory form set out in California Civil Code Section 8134, covering the amount actually received.** Subcontractor shall deliver the unconditional waiver no later than the date it submits its next Application for Payment.

8.3 Before Contractor pays retention and final payment, Subcontractor shall deliver its conditional waiver and release on final payment on the statutory form set out in California Civil Code Section 8136. After receiving final payment, Subcontractor shall deliver its unconditional waiver and release on final payment on the statutory form set out in California Civil Code Section 8138.

8.4 **All waivers and releases delivered under this Article must be on the exact statutory forms prescribed by the California Civil Code, without modification, and must be signed by an authorized officer of Subcontractor.** Contractor may decline to process a payment until a properly completed waiver is received.

ARTICLE 9 — WITHHOLDING AND SETOFF

9.1 **Contractor may set off and deduct Backcharges from any amount otherwise due to Subcontractor under this Subcontract.** Contractor shall give Subcontractor written notice of each Backcharge, with reasonable supporting documentation, before or at the time the deduction is made.

9.2 **Contractor may withhold from any payment an amount sufficient to cover the cost of correcting defective or nonconforming Subcontract Work that Subcontractor has not corrected.** The amount withheld shall be reasonably related to the estimated cost of correction.

9.3 Contractor may also withhold payment for: (a) Subcontractor's failure to submit certified payroll records or other documents required by the Subcontract Documents; (b) liquidated damages assessed by Owner to the extent caused by Subcontractor; and (c) Subcontractor's material breach of this Subcontract.

9.4 When the grounds for withholding are removed, Contractor shall release the withheld amount, less any sums Contractor has actually spent or is entitled to keep, with the next regular payment to Subcontractor.

9.5 Nothing in this Article limits any other remedy available to Contractor under this Subcontract or by law.

ARTICLE 10 — CHANGES IN THE WORK

10.1 Contractor may, without invalidating this Subcontract, order changes in the Subcontract Work. Subcontractor shall not perform any changed or extra work without a written Change Order or a written directive signed by Contractor's project manager.

10.2 Subcontractor shall submit a priced proposal for any change within seven (7) calendar days after Contractor's request. Pricing shall be itemized by labor, materials, equipment, and markup. Markup on Subcontractor's own direct costs shall not exceed fifteen percent (15%) for combined overhead and profit.

10.3 If the parties cannot agree on the price of a directed change, Subcontractor shall proceed with the work, keep daily time-and-material records signed by Contractor's superintendent, and be paid on the basis of those records using the markup in Section 10.2.

10.4 Subcontractor's claims for additional compensation or time must be submitted in writing within ten (10) calendar days after the event giving rise to the claim, or within any shorter time needed to allow Contractor to give timely notice to Owner under the Prime Contract. Claims not submitted within that time are waived.

10.5 Where a change arises from an Owner directive, Subcontractor's adjustment is limited to the amount Owner actually allows on Subcontractor's behalf, and Subcontractor is bound by the dispute procedures of the Prime Contract as to that change.

ARTICLE 11 — INSURANCE, BONDS AND INDEMNITY

11.1 Before starting work, Subcontractor shall provide certificates of insurance and endorsements showing the following minimum coverage, written by insurers rated A- VII or better by A.M. Best:

(a) Commercial general liability, occurrence form, $2,000,000 per occurrence and $4,000,000 aggregate, including products-completed operations coverage maintained for at least five (5) years after Final Completion of the Subcontract Work; (b) Business automobile liability, $1,000,000 combined single limit; (c) Workers' compensation as required by California law, and employer's liability of $1,000,000; and (d) Umbrella or excess liability of $3,000,000.

11.2 The general liability, automobile, and umbrella policies shall name Contractor, Owner, and Owner's officers, officials, employees, and volunteers as additional insureds on a primary and noncontributory basis. All policies shall include a waiver of subrogation in favor of the additional insureds.

11.3 If requested by Contractor, Subcontractor shall furnish payment and performance bonds, each in the full amount of the Subcontract Sum, from a California-admitted surety acceptable to Contractor. Contractor will reimburse the bond premium at Subcontractor's actual cost without markup.

11.4 To the fullest extent permitted by law, and subject to California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor and Owner, and their officers, employees, and agents, from all claims, damages, losses, and expenses, including reasonable attorneys' fees, arising out of or resulting from the performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor or anyone for whose acts it is responsible. This obligation does not extend to claims arising from

the active negligence or willful misconduct of an indemnified party, or from defects in design furnished by those parties.

ARTICLE 12 — PUBLIC WORKS AND SAFETY REQUIREMENTS

12.1 The Project is a public work. Subcontractor shall pay not less than the general prevailing wage rates determined by the Director of Industrial Relations for each craft employed on the Project, shall comply with California Labor Code Sections 1720 through 1861, and shall submit certified payroll records electronically to the Labor Commissioner and to Contractor as required.

12.2 Subcontractor represents that it is, and will remain throughout the Project, currently registered with the Department of Industrial Relations under Labor Code Section 1725.5, and that it holds a current CSLB license in the classifications needed to perform the Subcontract Work.

12.3 Subcontractor shall comply with apprenticeship requirements under Labor Code Section 1777.5 for the crafts it employs.

12.4 Subcontractor shall comply with Cal/OSHA regulations and Contractor's site safety program, including the fall protection plan for all roof work. Subcontractor shall designate a competent person on site at all times its crews are working at height and shall attend Contractor's weekly safety meetings. Hot work, including torch-applied flashing, requires a daily hot work permit from Contractor.

12.5 Subcontractor shall comply with Owner's site rules, including restrictions on working hours and noise near the adjacent temporary fire station.

ARTICLE 13 — WARRANTY AND CLOSEOUT

13.1 Subcontractor warrants that the Subcontract Work will be of good quality, free from defects in materials and workmanship, and in conformance with the Subcontract Documents.

13.2 Subcontractor shall correct any defective Subcontract Work discovered within two (2) years after Owner's acceptance of the Project, at no cost to Contractor or Owner, within seven (7) days after written notice or immediately in the event of an active leak. This warranty is in addition to, and does not limit, any longer warranty required by the specifications.

13.3 Subcontractor shall deliver the specified manufacturer's twenty (20) year no-dollar-limit warranty for the TPO roofing system, the specified twenty (20) year finish warranty for the standing seam metal panels, and Subcontractor's own two (2) year installer warranty on the form required by the specifications.

13.4 Closeout submittals required for Final Completion of the Subcontract Work include: the warranties listed in Section 13.3, manufacturer's final inspection reports, as-built drawings of roof drainage and penetrations, attic stock where specified, and operation and maintenance data for roof hatches.

ARTICLE 14 — DEFAULT AND TERMINATION

14.1 If Subcontractor fails to supply enough properly skilled workers or proper materials, fails to keep to the schedule, performs defective work and does not correct it, or otherwise materially breaches this Subcontract, Contractor may give Subcontractor written notice to cure. If Subcontractor does not begin to cure within three (3) working days after the notice and diligently complete the cure, Contractor may, without waiving other remedies:

(a) supplement Subcontractor's forces and Backcharge the cost; or (b) terminate this Subcontract for default, take possession of Subcontractor's materials on site, and complete the Subcontract Work by any means Contractor chooses.

14.2 On termination for default, Subcontractor is not entitled to further payment until the Subcontract Work is complete. If the unpaid balance of the Subcontract Sum exceeds Contractor's costs of completion, including reasonable overhead and attorneys' fees, the excess will be paid to Subcontractor. If the costs exceed the unpaid balance, Subcontractor shall pay the difference to Contractor.

14.3 Contractor may terminate this Subcontract for convenience on written notice if Owner terminates the Prime Contract or for any other reason. In that event, Subcontractor shall be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs, to the extent Contractor recovers those amounts from Owner. Subcontractor is not entitled to anticipated profit on work not performed.

14.4 Subcontractor may stop work if Contractor fails to pay an undisputed amount when due under Article 6, after giving Contractor ten (10) days' written notice, and may resume work once payment is made.

ARTICLE 15 — DISPUTES

15.1 The parties shall first try to resolve any dispute through a meeting between their senior representatives within fourteen (14) days after either party's written request.

15.2 Disputes that involve acts, omissions, or responsibility of Owner shall be resolved under the claims procedures of the Prime Contract and California Public Contract Code Section 9204, and Subcontractor agrees to be bound by the result to the same extent Contractor is bound. Contractor will present Subcontractor's claims to Owner in good faith, at Subcontractor's expense, when Subcontractor submits them in time to meet the Prime Contract deadlines.

15.3 Disputes solely between Contractor and Subcontractor not resolved under Section 15.1 shall be submitted to non-binding mediation in Sonoma County before either party files suit. Any lawsuit shall be filed in the Superior Court of California, County of Sonoma.

15.4 Pending resolution of any dispute, Subcontractor shall continue performing the Subcontract Work, and Contractor shall continue making payments of undisputed amounts in accordance with this Subcontract.

15.5 The prevailing party in any lawsuit arising out of this Subcontract is entitled to its reasonable attorneys' fees and costs.

ARTICLE 16 — GENERAL PROVISIONS

16.1 **This Subcontract is governed by the laws of the State of California.**

16.2 Subcontractor shall not assign this Subcontract or subcontract any part of the Subcontract Work without Contractor's prior written consent. Contractor may assign this Subcontract to Owner if the Prime Contract is terminated.

16.3 Subcontractor is an independent contractor. Nothing in this Subcontract creates an employment, partnership, or joint venture relationship.

16.4 Notices shall be in writing and delivered by hand, by recognized overnight courier, or by email with confirmation of receipt, to the addresses in the preamble or to such other address as a party designates by notice.

16.5 Failure to insist on strict performance of any provision is not a waiver of that provision or of any later breach.

16.6 If any provision of this Subcontract is held unenforceable, the remaining provisions remain in effect, and the unenforceable provision shall be enforced to the greatest extent permitted by law.

16.7 This Subcontract, together with the other Subcontract Documents, is the entire agreement between the parties regarding the Subcontract Work and supersedes all prior proposals and negotiations. It may be amended only by a written document signed by both parties.

16.8 This Subcontract may be signed in counterparts and by electronic signature, each of which is an original and all of which together are one instrument.

IN WITNESS WHEREOF, Contractor and Subcontractor have signed this Subcontract as of the Effective Date.

REDWOOD PEAK CONSTRUCTION CO. By: _____ Name: Daniel K. Ostrander Title: Vice President, Operations Date: _____

PRECISION ROOFING & SHEET METAL By: _____ Name: Marisol T. Echeverría Title: President Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Value
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1	Mobilization, supervision, and general conditions	—	$18,000.00
2	Submittals, shop drawings, and samples	—	$7,500.00
3	Roof board insulation and cover board	07 22 16	$62,000.00
4	TPO membrane roofing, living quarters and administration wing	07 54 23	$98,000.00
5	Standing seam metal roof panels, apparatus bay	07 41 13	$112,000.00
6	Sheet metal flashing, copings, and trim	07 62 00	$41,500.00
7	Gutters and downspouts	07 71 23	$21,000.00
8	Roof accessories: hatches, walkway pads, curb and pipe flashings	07 72 00	$14,000.00
9	Closeout documents, manufacturer inspections, and warranties	—	$11,000.00
	Subcontract Sum		**$385,000.00**